JNJ

This report summarizes the latest annual fundamentals for JNJ and highlights where risk and durability are concentrated.

Revenue

$94.2B

6.0%

Net Income

$26.8B

90.6%

Free Cash Flow

$19.7B

Latest annual snapshot

Debt-to-Equity

0.59x

Latest annual snapshot

At a glance

- Revenue is $94.2B with 6.0% change versus the prior period.
- Net income is $26.8B, indicating current earnings scale.
- Balance sheet reads at 0.59x debt-to-equity and 1.03x current ratio.

Executive Summary

JNJ currently reports $94.2B revenue and $26.8B net income on the latest annual filing. Debt-to-equity at 0.59x is the key balance-sheet constraint to monitor going forward.

Current balance-sheet and cash profile: leverage at 0.59x, current ratio 1.03x, free cash flow $19.7B.

Profitability

- Net margin is 28.5%; this captures current bottom-line efficiency.
- Return on equity is 32.9%; this indicates shareholder-capital productivity.

Balance Sheet & Liquidity

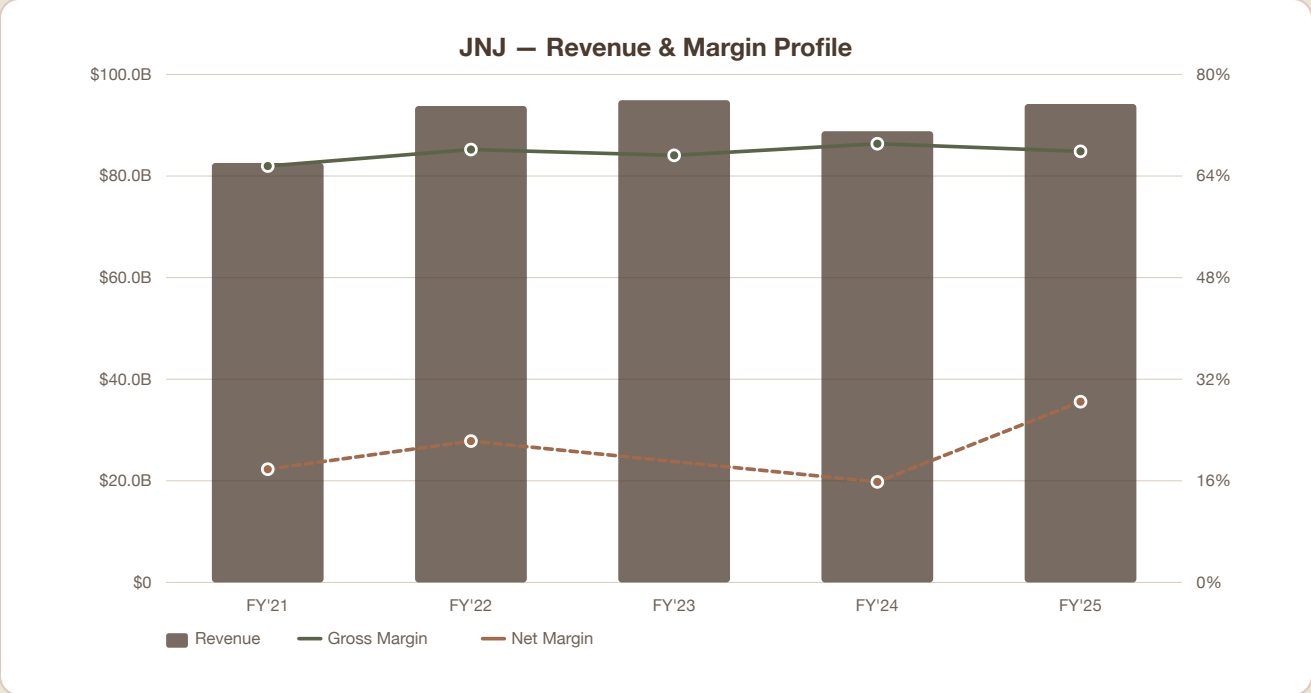
- Debt-to-equity is 0.59x; this frames leverage sensitivity and refinancing exposure.
- Current ratio is 1.03x; this measures near-term liquidity headroom.

Cash Flow & Risk

- Free cash flow is $19.7B; this tests earnings quality and funding flexibility.
- Operating cash flow is $24.5B (1.1% vs prior); this shows internal cash generation capacity.

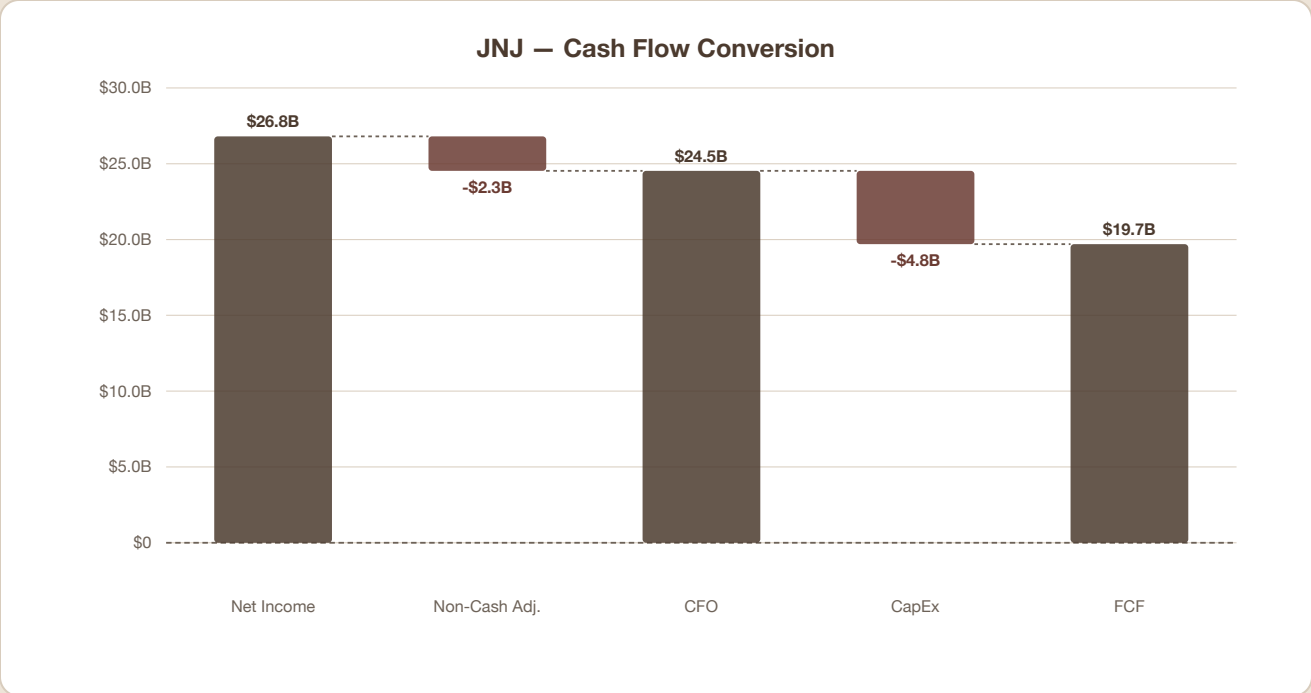
Revenue	Net Income	Free Cash Flow
$94.2B	**$26.8B**	**$19.7B**

Visual Highlights I



Revenue Growth & Margin Profile

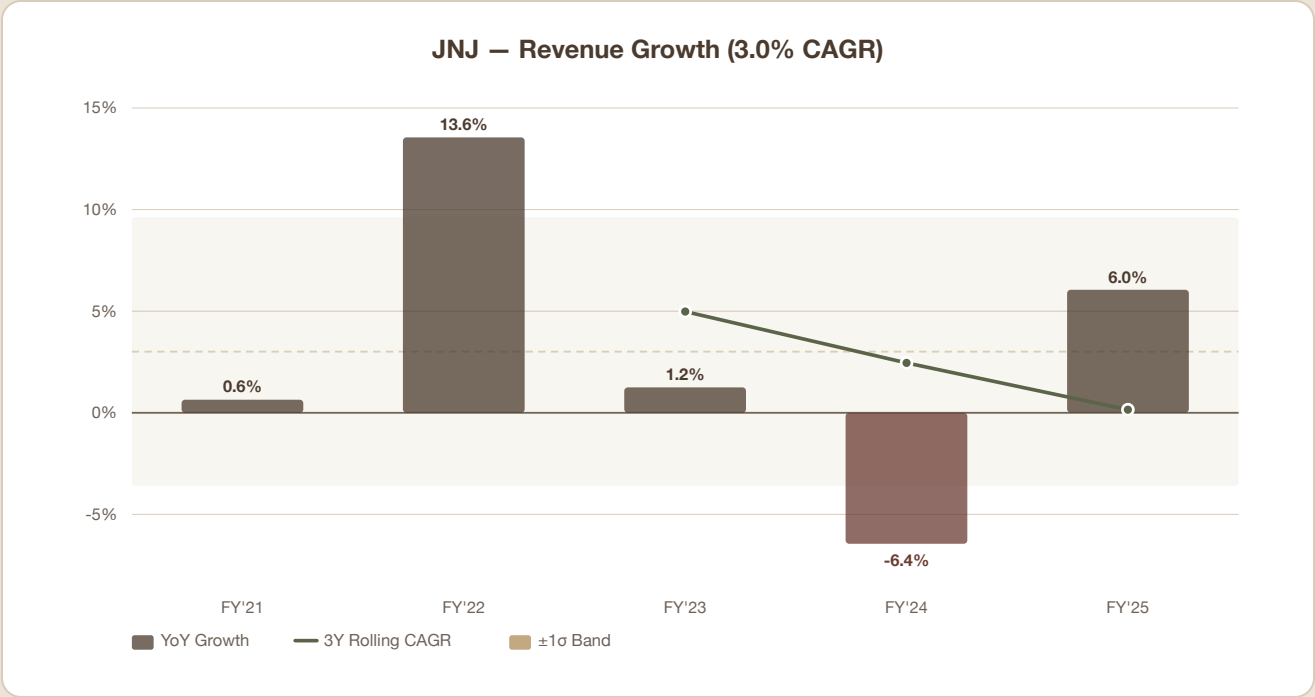
Revenue trend and margin structure across the most recent annual periods.



Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Visual Highlights II



Revenue Growth

Year-over-year growth path and stability over the latest annual periods.

Interpretation Snapshot

Key interpretation anchors from the same annual data used in the charts.

- Return on equity is 32.9%, indicating current capital productivity.
- Debt-to-equity stands at 0.59x, a direct read on leverage sensitivity.
- Current ratio is 1.03x, framing near-term liquidity coverage.
- Operating cash flow is $24.5B.

Key Metrics Dashboard

Profitability

Metric	Current Value	Note
Net Margin	28.5%	Latest annual snapshot
Gross Margin	67.9%	Latest annual snapshot
Return on Equity	32.9%	Latest annual snapshot
Return on Assets	13.5%	Latest annual snapshot

Liquidity & Leverage

Metric	Current Value	Note
Current Ratio	1.03x	Latest annual snapshot
Quick Ratio	0.77x	Latest annual snapshot
Debt-to-Equity	0.59x	Latest annual snapshot

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$94.2B	$88.8B	6.0%
Net Income	$26.8B	$14.1B	90.6%
Total Assets	$199B	$180B	10.6%
Stockholders' Equity	$81.5B	$71.5B	14.1%
Total Liabilities	$118B	$109B	8.3%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$24.5B	$24.3B	1.1%
Free Cash Flow	$19.7B	N/A	N/A
Capital Expenditures	$4.83B	$4.42B	9.2%
Earnings Per Share (Diluted)	$11.03	N/A	N/A
Book Value Per Share	$33.57	N/A	N/A

Commentary

What stands out

- Revenue is $94.2B, with 6.0% growth versus the prior annual filing.
- Net income is $26.8B, with 90.6% change year over year.
- Free cash flow is $19.7B, supporting internal funding capacity and earnings quality.

Watch items

- Monitor leverage and liquidity together: debt-to-equity is 0.59x and current ratio is 1.03x.
- Validate next-period durability before extrapolating the latest one-year growth and margin profile.

Analyst interpretation

- JNJ currently combines scale and profitability, but the key decision point is whether margin and cash conversion stay consistent across the next filings.
- Balance-sheet posture is best read jointly: debt-to-equity at 0.59x and current ratio at 1.03x.
- Cash generation remains a central validation point, with free cash flow at $19.7B in the latest annual period.

Next Filing Checklist

- Confirm whether JNJ can sustain revenue at $94.2B through the next filing cycle.
- Track free cash flow conversion versus earnings; current reference is $19.7B.
- Reassess leverage and liquidity together (0.59x debt-to-equity, 1.03x current ratio).

Appendix

Appendix A — JNJ Income Statement

Metric	FY2025	FY2024	FY2023
Revenue	$94.2B	$88.8B	$85.2B
Cost of Revenue	$30.3B	$27.5B	$26.6B
Gross Profit	$63.9B	$61.4B	$58.6B
Net Income	$26.8B	$14.1B	$35.2B
EPS (Basic)	$11.13	$5.84	$13.88
EPS (Diluted)	$11.03	$5.79	$13.72
R&D Expenses	$14.7B	$17.2B	$15.1B
SG&A Expenses	$23.7B	$22.9B	$21.5B

Appendix B — JNJ Balance Sheet

Metric	FY2025	FY2024	FY2023
Shares Outstanding	2.43B	2.43B	2.56B
Total Assets	$199B	$180B	$168B
Total Liabilities	$118B	$109B	$98.8B
Stockholders' Equity	$81.5B	$71.5B	$68.8B
Current Assets	$55.6B	$55.9B	$53.5B
Current Liabilities	$54.1B	$50.3B	$46.3B
Cash & Equivalents	$19.7B	$24.1B	$21.9B
Long-Term Debt	$39.4B	$30.7B	$25.9B
Short-Term Debt	$8.49B	$5.98B	$3.45B
Inventory	$14.2B	$12.4B	$11.2B
Accounts Receivable	$17.2B	$14.8B	$14.9B
Goodwill	$48.8B	$44.2B	$36.6B

Appendix (Cont.)

Appendix C — JNJ Cash Flow Statement

Metric	FY2025	FY2024	FY2023
Operating Cash Flow	$24.5B	$24.3B	$22.8B
Capital Expenditures	$4.83B	$4.42B	$4.54B
Investing Cash Flow	-$23.6B	-$18.6B	$0.88B
Financing Cash Flow	-$5.54B	-$3.13B	-$15.8B
Share Repurchases	$5.95B	$2.43B	$5.05B

Data Sources & Notes

Ticker	Form	Filed	Primary Document
JNJ	10-K	2026-02-11	https://www.sec.gov/Archives/edgar/data/200406/000020040626000016/jnj-20251228.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Comparisons reflect each issuer's latest annual filing period unless otherwise noted.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-04. Retrieval date: 2026-03-05.

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